

[**PROJECT** : BATTERY-BACKED AI COMPUTE · MEAD, OKLAHOMA · US-70]

MEAD DATA CENTER

Phase 1A — a 64-GPU NVIDIA B200 cluster on land, power, and buildings we already own. Eight HGX B200 servers, 60 of the 64 GPUs rentable, behind z1Power LFP storage and a signed-quote fiber path.

the site is the moat →

64*

NVIDIA B200 GPUS
60 RENTABLE

100G

SYMMETRICAL DIA FIBER
SIGNED QUOTE

3 MVA

ON-SITE TRANSFORMER
OWNED

\$4,504,711

ALL-IN BUILD W/
15% CONTINGENCY

2.60*

MODELED YEAR-1
DSCR (7-YR TERM)

[**02** · THE OPPORTUNITY]

COMPUTE IS THE COMMODITY. CHEAP POWER IS THE EDGE.

AI compute demand keeps outrunning supply. The B200 — NVIDIA's current-generation workhorse — rents at a market median of **\$6.12/GPU-hour** across independent multi-provider trackers this month, while AWS lists the identical silicon at **\$14.24/GPU-hour**. The spread between what compute costs to operate and what it rents for is the business.

[MARKET · JULY 2026]	[OUR PRICE]	[OUR COST]
\$6.12/hr B200 on-demand median across independent indices. Full published range \$3.50 aggregator — \$14.24 AWS.	\$4.50/hr Modeled reserved rate — ask \$5.00, model the landing at \$4.50, roughly 26% under median. Priced to sign 1-year 24/7 commitments.	~\$1.22/hr All-in cash operating cost per billed GPU-hour — power, fiber, a full 3-engineer team, insurance. A 75% operating margin at the modeled rate.

[**WHY THIS PROJECT CLEARS THE MARKET**]

TYPICAL GPU CLOUD ENTRANT	MEAD DATA CENTER
Leases colo space at \$0.12–0.25/kWh	Owns the site. Oklahoma power at ~\$0.08/kWh, behind-the-meter batteries from z1Power — a company we own.
Waits 12–24 months for grid interconnection	3 MVA transformer already on site. The 114.4 kW Phase-1A load uses about 4% of it.
Buys demand with marketing spend	A verified five-channel demand stack — marketplace certification, exchange, aggregator, wholesale broker, and master lease — audited buyer-side rate by rate.
Rents bandwidth at metro prices	Signed carrier quote in hand: Dobson Fiber 100 Gbps symmetrical DIA, \$8,075/mo on a 60-month term, install waived.

\$1,778,010

Modeled Year-1 net operating income on \$2,384,910 of revenue — a 75% operating margin before debt service, covering operating costs 3.9× over. Every figure in this memorandum is drawn from the July 2026 build blueprint, which was independently re-audited against live market data on 24 July 2026. Rates are modeled declining 9% a year, not holding.

[03 · THE ASSET — WHAT WE ALREADY OWN]

MOST GPU STARTUPS RENT THEIR MOAT. WE HOLD TITLE.

Phase 1A requires zero real-estate spend, zero interconnection queue, and zero retail battery markup. The infrastructure below is contributed to the project by the sponsor — investor capital buys compute, not dirt.

[LAND]

30 Acres - US-70

Owned outright in Mead, OK. Room for ~500 kW of solar on 2–3 acres if we ever want generation on site — 27 acres of expansion headroom after that.

[BUILDINGS]

3 × 3,000 sqft

Three existing structures. Phase 1A occupies Building 1; the HVAC retrofit and CRAC units are the only building spend. Buildings 2–3 are pre-built shells for later phases.

[POWER]

3,000 kVA - 208V 3Φ

On-site transformer carrying roughly 24× headroom over the Phase-1A IT load. HGX B200 accepts 200–240V three-phase natively. Oklahoma commercial power ≈ \$0.08/kWh.

[BATTERIES]

z1Power LFP + UPS

We own z1Power.com — LFP battery systems land in the build at cost (\$60,000), paired with 2× Eaton 93PR 100 kW UPS. Ride-through, peak-shaving, and a clean-power story tenants can cite.

[CONNECTIVITY · SIGNED CARRIER QUOTE — NOT AN ESTIMATE]

100 Gbps symmetrical Dedicated Internet Access from Dobson Fiber. **\$8,075/mo on a 60-month agreement, installation waived.** Priced into the operating model at \$96,900/yr. Fiber headroom for 60 rentable GPUs — and the mid-contract upgrade path — is an open item carried in the blueprint, not assumed away.

[WHAT PHASE 1A PHYSICALLY IS]

SYSTEM	CONFIGURATION	QTY
GPU servers	HGX B200 8-GPU (Supermicro) — 64 B200s, 60 rentable, 4 spares held outside all contracts	8
Fabric	QM9790 NDR 400Gb/s InfiniBand switch, 60 NDR optics, ConnectX-7 spares	2
Storage	NVMe all-flash, 300 TB usable	1
Power	Eaton 93PR 100 kW UPS (N+1) · 300 kVA step-up 208 → 480V · z1Power LFP at cost	2 / 1 / 1
Cooling	15-ton CRAC units (45 tons installed) · hot-aisle containment · clean-agent fire suppression	3
Infrastructure	48U server racks · switched 3-phase PDUs · structured cabling	9

stated plainly: two sizing items are open

Cooling is 45 tons installed across three CRAC units, but only 30 tons (~105.5 kW) with one unit failed — below the 114.4 kW IT load. True N+1 needs a fourth 15-ton unit (~+\$18K) or 3×20-ton. Separately, the UPS specification of 100 kW N+1 was drawn for an earlier, smaller build and is being re-sized against the current load. Both are Gate-0 items, resolved before fixed-price bids are accepted. They are disclosed here rather than discovered later.

\$4,504,711 ALL-IN. NEW HARDWARE. AUDITED LINES.

HGX-architecture servers from Supermicro carry the same NVIDIA B200 silicon as DGX. The build is priced on new hardware with full warranty, not refurb. Every line survived a two-pass audit — structural, then live re-verification against vendor pricing on 24 July 2026 — and 15% contingency is carried openly rather than buried in the line items.

CATEGORY	TOTAL
GPU Servers incl. shipping & install	\$3,160,000
InfiniBand Fabric	\$156,440
NVMe Storage (300 TB)	\$120,000
Power Infrastructure (N+1 UPS)	\$227,000
Cooling + Fire Suppression	\$121,000
Racks, PDUs, Cabling	\$36,500
Management Network	\$7,700
Fiber Entry	\$5,500
Soft Costs (incl. AURA)	\$83,000
Contingency (15%)	\$587,571
TOTAL CAPEX	\$4,504,711

[PER-GPU BUILD COST]

\$70,386

All-in CAPEX per installed B200 (\$75,079 per rentable GPU). Against modeled Year-1 revenue of \$39,748 per rentable GPU.

[NOT IN THIS ASK]

No land purchase. No building lease. No utility interconnection fees. No retail battery markup. The site, buildings, transformer and 30 acres are contributed by the sponsor.

[TIMELINE · GATED, NOT HOPEFUL]

- Gate 0 — fixed-price HVAC and electrical bids, lender term sheet, and demand-channel onboarding before any server order.
- Days 0-90 — Dobson fiber build (install waived) || HVAC retrofit || HGX order (8-16 wk lead, verified with distributors).
- Day ~100 — fabric up, burn-in, tenant onboarding.
- Day ~120 — revenue. Fiber and servers land on the same clock.

Where the audit moved the numbers

Server pricing is carried at \$375,000/system. An earlier internal document used \$300,000; NVIDIA ran three 30% baseline increases through 2026, so \$375,000 is the current figure and the two documents are now reconciled to it — a formal quote is a Gate-0 item. The QM9790 switch is carried at \$32,500 against a verified reseller floor of \$28,443, i.e. deliberately conservative. NVMe is right-sized at \$120,000 but perishable: NAND contract prices rose 70-75% quarter-on-quarter in Q2 2026, so pricing locks at order.

[05 · REVENUE & UNIT ECONOMICS — YEAR 1]

60 GPUS RENTABLE. 48 RESERVED, BILLED REGARDLESS.

64 physical GPUs (8 × 8). 4 spares are held outside every contract, so a single-GPU failure is a re-map rather than an SLA breach — 60 are rentable. Reserved capacity is billed 24/7/365 whether utilized or not; the remaining 12 run as an on-demand pool modeled at 75% utilization.

REVENUE STREAM	GPUS	RATE	ANNUAL
Reserved, 24/7/365	48	\$4.50/hr	\$1,892,160
On-demand pool, 75% util	12	\$6.25/hr	\$492,750
TOTAL — YEAR 1	60		\$2,384,910

OPERATING COST	ANNUAL
Power + cooling energy (114.4 kW IT full-server draw, \$0.08/kWh)	\$110,000
Fiber — Dobson 100G symmetrical DIA (signed quote)	\$96,900
Team — 3 HPC engineers @ \$120K, Oklahoma market	\$360,000
Insurance, property tax, software	\$40,000
TOTAL OPEX	\$606,900

[YEAR-1 NET OPERATING INCOME]

\$1,778,010

A 74.6% operating margin before debt service. Revenue covers total operating cost 3.9× over. Cash operating cost is \$1.22 per billed GPU-hour against a \$4.50 reserved rate.

[SENSITIVITY]

SCENARIO	RATE	UTIL	Y1 NOI	PAYBACK
Optimistic	\$5.00/hr	85%	\$2,053,950	2.2 yr
Base case	\$4.50/hr	75%	\$1,778,010	2.5 yr
Conservative	\$4.00/hr	65%	\$1,502,070	3.0 yr

[WHERE THE 48 RESERVED GPUS COME FROM]

CHANNEL	MODEL	STATUS OF THE NUMBERS
Vast.ai — DC Certification	Marketplace host; we set price, buyers pay ~\$712/GPU-hr on-demand (verified Jul 2026)	Buyer rate verified. Host payout share (~75–80%) is Vast guidance, not a contract — confirm at onboarding.
SF Compute	Exchange; committed blocks	B200 not publicly listed — quote required. Only H100 from \$2.02 published.
Shadeform	Aggregator listing across 30+ GPU clouds	Payouts negotiated per listing.
GPUaaS.com	Broker; buyer side \$4.00–\$4.68/GPU-hr	Buyer range verified on their site; our cut negotiated.
FluidStack / Voltage Park / Crusoe / GMI	Whole-cluster master lease (6–24 mo)	No public rate card — the true single-anchor path, and the slowest to close.

The load-bearing assumption, stated without spin

No platform guarantees a new 64-GPU supplier a payout rate. The \$4.50 reserved assumption is defensible against the verified \$4.50–\$5.50 reserved-contract band and sits at its low end — **but it is a target, not a signature**. Buyer-side rates in the channel table are verified; the host payout share is platform guidance, confirmed only at onboarding. An investor should price the probability of landing that rate, not assume it.

[06 · FIVE-YEAR MODEL — PRICED FOR DECLINE]

WE MODEL RATES FALLING. MOST DECKS DON'T.

GPU rental prices decay as newer silicon ships — B300 is already listing at a premium and pulling B200 down-market. The base case below cuts the revenue line 10% every year. Independent forecasts point the same direction, with some projecting B200 on-demand softening toward \$2.50–\$3.00 at scale. If rates simply hold, every return figure in this memorandum improves materially.

	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
Reserved rate (\$/GPU-hr) — 48 GPUs	4.50	4.05	3.65	3.29	2.96
Gross revenue	\$2,384,910	\$2,146,419	\$1,931,777	\$1,738,599	\$1,564,739
Operating costs	(\$606,900)	(\$606,900)	(\$606,900)	(\$606,900)	(\$606,900)
Net operating income	\$1,778,010	\$1,539,519	\$1,324,877	\$1,131,699	\$957,839

Cumulative five-year net operating income: **\$6,731,945** — before debt service, residual hardware value, and any Phase 1B / Phase 2 optionality. Operating costs are held flat in nominal terms across all five years.

[WHAT THE MODEL EXCLUDES — DELIBERATELY]

- ✓ No Phase 1B, Phase 2 or Phase 3 revenue
 - ✓ No solar savings (~500 kW of site capacity unmodeled)
 - ✓ No z1Power cross-sell to tenants
 - ✓ No utilization above 75% on the on-demand pool
 - ✓ No residual hardware value at Year 5
 - ✓ No rate upside if the market holds instead of decaying
- These are real options the site holds. The returns above do not need them.

[WHAT WOULD ACTUALLY BREAK IT]

- 1. Rate collapse below the operating floor.** Cash operating cost is \$1.22/GPU-hr. The project stays cash-positive on operations well below the modeled rate, but debt service is the binding constraint, not opex.
- 2. Failure to land reserved capacity at all.** If the 48 reserved GPUs clear only at marketplace rates, revenue compresses toward the conservative scenario.
- 3. A build overrun beyond the \$587,571 contingency,** concentrated in HVAC and electrical — which is why fixed-price bids gate the order.

LEVERED, AND HONEST ABOUT WHAT THAT MEANS.

The base case funds \$4,504,711 of CAPEX with 80% senior equipment debt and 20% equity. Leverage is what produces the equity returns below — and it is also the reason the reserved-rate assumption matters more here than in an all-equity structure. Final structure, security type, and terms are set with counsel; these are illustrative economics, not an offer.

CAPITAL STACK & COVERAGE	VALUE
Total CAPEX	\$4,504,711
Senior debt (80% LTV, 8.5%)	\$3,603,769
Equity	\$900,942
Monthly debt service — 7-yr term	\$57,071
Year-1 net operating income	\$1,778,010
DSCR — 7-yr term	2.60×
DSCR — if lender writes 5-yr paper	2.00×
Levered free cash flow, Year 1	\$1,093,158
Flat payback, all capital	2.5 yr

Read the DSCR row carefully

The base case assumes a 7-year equipment term. GPU lenders commonly write 3–5 year paper. At five years, monthly service rises to \$73,937 and DSCR falls to 2.00× — still above a typical 1.25× covenant floor, but materially tighter. No term sheet is signed. Confirm the term, the LTV on soft costs (lenders typically finance equipment only), and the rate before relying on any figure on this page.

[TIER 01]

POD PARTNER

\$125,000

Share of equity **13.9%**

Year-1 levered distribution **\$151,669**

5-yr distributions **\$458,920**
(base case)

Quarterly distributions + reporting,
annual site day.

[TIER 02]

RACK PARTNER

\$250,000

Share of equity **27.7%**

Year-1 levered distribution **\$303,338**

5-yr distributions **\$917,841**
(base case)

Adds: priority GPU allocation for
portfolio companies at reserved
pricing.

[TIER 03]

CORE PARTNER

\$450,000

Share of equity **49.9%**

Year-1 levered distribution **\$546,008**

5-yr distributions **\$1,652,113**
(base case)

Adds: advisory board seat, quarterly
financial review, right of first refusal
on Phase 1B.

[TIER 04]

SITE PARTNER

\$900,942

Share of equity **100.0%**

Year-1 levered distribution **\$1,093,158**

5-yr distributions **\$3,307,685**
(base case)

Adds: board seat, co-branding, Phase
1B/2/3 right of first refusal across the
30-acre site.

How to read the tier economics. Each tier buys a pro-rata share of the equity slice and its distributions. Year-1 figures are levered free cash flow after debt service at the modeled \$4.50 reserved rate — the single most sensitive input in this document. At the conservative \$4.00 scenario, Year-1 NOI falls to \$1,502,070 and every distribution below compresses proportionally. Distributions are quarterly, first payment after the first full revenue quarter.

[08 · WHAT THIS BECOMES]

PHASE 1A IS 4% OF THE TRANSFORMER.

[PHASE 1A · THIS RAISE]

64 GPUs - 114.4 kW

Building 1. 48 reserved + 12 on-demand, 4 spares.
Cash-flowing in roughly 120 days from Gate 0.

[PHASE 1B · NEXT]

Building 1 fill-out

Scope and timing not yet specified. It expands the same hall, which is why UPS and cooling are being re-sized for the combined load rather than for Phase 1A alone.

[PHASE 2-3 · FUNDED BY CASH FLOW]

Bldg 2 + solar

Second and third building shells already exist. ~500 kW of solar on 2-3 acres with z1Power storage at cost. The transformer supports roughly 24x today's load before any utility upgrade.

[RISKS & MITIGATIONS - STATED, NOT BURIED]

RISK	MITIGATION
Reserved rate is a target, not a signature	The single largest risk in this document. \$4.50 sits at the low end of the verified \$4.50-\$5.50 reserved band, and five independent demand channels are in play — but no platform guarantees a payout to a new supplier. The conservative scenario models the outcome where this lands badly.
GPU rental rates fall faster than modeled	Base case already prices a 10%/yr decline; reserved capacity is billed 24/7 regardless of utilization; cash operating cost of \$1.22/GPU-hr leaves substantial room above break-even on operations.
Leverage and lender terms	DSCR is 2.60x at a 7-year term and 2.00x at five. No term sheet signed; LTV on soft costs is unconfirmed. Leverage amplifies the rate risk above — that is the honest trade for the equity returns.
Cooling and UPS sizing	Both currently under the 114.4 kW load at N+1 and disclosed on page O3. Fixed-price HVAC and electrical bids, plus licensed PE review of the power and cooling design, gate the equipment order.
Hardware obsolescence	B200 remains mainstream inference silicon through the hold; the model assumes zero residual value at Year 5, which is deliberately conservative.
Build overruns	15% contingency (\$587,571) carried in headline CAPEX. Site, power, and buildings already exist, which removes the categories that usually cause overruns. NVMe pricing locks at order.

[NEXT STEP]

The full model workbook, the itemized build blueprint, the verified demand-channel workbook, the Dobson quote, and the audit log are available in the data room. Terms are finalized with counsel at commitment.

CONFIDENTIAL — prepared by SmartTec.dev, July 2026. This memorandum is for discussion purposes only and does not constitute an offer to sell or a solicitation of an offer to buy securities. Illustrative tier economics assume pro-rata participation in project distributions; final legal structure, security type, preferred terms, and tax treatment are to be determined with qualified securities counsel, whose review is required before this document is circulated externally. The power and cooling design requires licensed professional-engineer review and has not yet received it. Projections are estimates based on July 2026 market data — independent multi-provider B200 price indices, the signed Dobson Fiber quote, and vendor list pricing — and actual results will differ. The modeled reserved rate is a target supported by market benchmarks, not a contracted rate. No debt term sheet has been executed. GPU rental rates are volatile and hardware values decline; past market pricing does not guarantee future rates. Recipients should conduct independent due diligence.